

First-Time Homebuyer Prep Guide

What your credit, savings, and income need to look like
12 months before you apply for a mortgage

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What Most First-Time Buyers Get Wrong

Most first-time homebuyers start their search by looking at houses. They find a home they love, then scramble to figure out if they can afford it. This is backwards — and it is the reason so many buyers get rejected, overpay, or end up with a mortgage they cannot sustain. The right approach is to spend 12 months building the financial profile that gets you the best possible loan, then buy.

This guide walks you through exactly what lenders look at — not the simplified version you see on most websites, but the actual criteria underwriters use. You will learn the specific credit score thresholds that unlock better rates, how debt-to-income ratio affects your buying power more than your income does, and how to shop for a mortgage rate without damaging your credit score.

The Number That Matters Most — And It Is Not Your Credit Score

Most buyers obsess over their credit score. Lenders care about your **debt-to-income ratio (DTI)** just as much — sometimes more. A buyer with a 780 credit score and 50% DTI will be denied. A buyer with a 660 score and 28% DTI will be approved. Your DTI determines how much house you can actually buy. Understanding it is the first step in this guide.

Loan Types and Their Real Requirements

There are four main mortgage types available to first-time buyers. Each has different credit score minimums, down payment requirements, and income rules. Most buyers do not know they have options beyond a conventional loan:

Loan Type	Min. Credit Score	Min. Down Payment	DTI Limit	Best For
Conventional (Fannie/Freddie)	620 (740+ for best rates)	3% (but PMI under 20%)	45% (50% with compensating factors)	Buyers with good credit and stable income.
FHA Loan	580 (500 with 10% down)	3.5% (580+ score)	57% in some cases	Buyers with lower scores or limited savings.
VA Loan	No official minimum (most lenders require 620)	0% — no down payment required	41% preferred (flexible with residual income)	Veterans and active military. Best terms available.
USDA Loan	640 recommended	0% — no down payment required	41% (back-end)	Rural and suburban buyers in eligible areas.

PMI: The Hidden Cost Most Buyers Do Not Budget For

Private Mortgage Insurance (PMI) is required on conventional loans when your down payment is less than 20%. It typically costs **0.5–1.5% of the loan amount per year**. On a \$350,000 loan, that is \$145–\$437 per month added to your payment — and it does nothing for you. It protects the lender. FHA loans have a similar charge called MIP (Mortgage Insurance Premium) that lasts the life of the loan if your down payment is under 10%. Factor PMI/MIP into your true monthly cost when comparing loan options.

PART 1 — YOUR CREDIT SCORE: THE EXACT THRESHOLDS THAT MATTER

Mortgage lenders do not use the same credit score you see on Credit Karma. They pull your **FICO Score 2, 4, and 5** — one from each bureau — and use the middle score. These mortgage-specific FICO models can differ from your consumer score by 20–50 points. Always check your mortgage FICO scores before applying. Experian offers them for free.

FICO Score Range	Conventional Rate Impact	FHA Eligibility	What to Do
760+	Best available rates. On a \$350K loan, this saves \$50,000+ vs. a 620 score over 30 years.	Eligible — but conventional is usually better at this score.	You are in the best tier. Focus on DTI and savings.
740–759	Near-best rates. Typically 0.25% higher than 760+ tier.	Eligible.	One tier below best. A few months of utilization management can push you over 760.
720–739	Good rates. Approximately 0.5% higher than 760+ tier.	Eligible.	Focus on reducing utilization and avoiding new inquiries for 6 months.
700–719	Moderate rates. Approximately 0.75–1% higher than 760+ tier.	Eligible.	Dispute any errors. Reduce utilization. Do not open new accounts.
680–699	Higher rates. Approximately 1–1.5% higher than 760+ tier.	Eligible with better terms than conventional at this range.	Consider FHA. Work on score for 6–12 months before applying.
640–679	Significantly higher rates or denial on conventional.	Eligible. FHA is likely the better path.	Spend 12 months on credit repair before applying.
580–639	Conventional denial likely.	Eligible with 3.5% down (580+).	FHA only. Focus heavily on score improvement.

The Real Cost of a Lower Credit Score on a Mortgage

On a \$350,000 30-year fixed mortgage: a 760+ score might get 6.5% APR. A 680 score might get 7.5% APR. That 1% difference costs **\$236 more per month** and **\$84,960 more over 30 years**. Spending 6–12 months improving your score before applying is almost always worth it. The math is not close.

What Lenders Actually Pull — And When

When you apply for a mortgage, lenders pull a **tri-merge credit report** — all three bureaus at once. This is one hard inquiry (not three). They take the **middle score** of the three FICO scores. If you are applying with a co-borrower, they take the lower of the two middle scores. This is critical: if your partner has a 620 score and

you have a 780, the lender uses 620.

Rate Shopping Without Hurting Your Score

Multiple mortgage inquiries within a **14-day window** count as a single inquiry under FICO scoring. Some models extend this to 45 days. This means you can apply with 5 different lenders in two weeks and your score only drops by 5–10 points once — not five times. Always shop at least 3 lenders. The difference between the best and worst offer on a \$350,000 loan can easily be \$50,000+ over 30 years.

PART 2 — DEBT-TO-INCOME RATIO: THE REAL GATEKEEPER

Debt-to-income ratio (DTI) is the percentage of your gross monthly income that goes toward debt payments. Lenders calculate two versions: the **front-end ratio** (housing costs only) and the **back-end ratio** (all debts). The back-end ratio is the one that most often determines approval.

DTI Component	What Is Included	Example (\$80K/yr income = \$6,667/mo)
Front-End Ratio (Housing DTI)	Principal + Interest + Property Tax + Homeowner's Insurance + HOA fees + PMI	If PITI = \$1,800/mo: Front-end DTI = 27% Lenders prefer under 28%.
Back-End Ratio (Total DTI)	All housing costs PLUS: car loans, student loans, credit card minimums, personal loans, child support	If total debt = \$2,600/mo: Back-end DTI = 39% Conventional limit: 45%. FHA: up to 57%.

How DTI Determines Your Maximum Purchase Price

Most buyers ask "how much house can I afford?" The answer comes directly from your DTI. Here is how to calculate your maximum mortgage payment:

Gross Monthly Income	Max Total Debt (45% DTI)	Existing Monthly Debt	Max Mortgage Payment	Approx. Purchase Price*
\$4,000/mo (\$48K/yr)	\$1,800	\$400 (car + cards)	\$1,400	\$185,000–\$210,000
\$5,500/mo (\$66K/yr)	\$2,475	\$500	\$1,975	\$260,000–\$295,000
\$7,000/mo (\$84K/yr)	\$3,150	\$600	\$2,550	\$335,000–\$380,000
\$9,000/mo (\$108K/yr)	\$4,050	\$800	\$3,250	\$430,000–\$485,000
\$12,000/mo (\$144K/yr)	\$5,400	\$1,000	\$4,400	\$580,000–\$655,000

* Approximate purchase price assumes 7% interest rate, 30-year term, 10% down, includes estimated taxes and insurance. Actual numbers vary by location.

The Fastest Way to Increase Your Buying Power

Every dollar of monthly debt you eliminate adds roughly \$10,000–\$15,000 in buying power. Paying off a \$300/month car loan does not just free up \$300 — it allows you to qualify for a mortgage that is \$40,000–\$45,000 higher. If you have a car loan, student loans, or credit card minimums, aggressively paying them down in the 12 months before applying is the single most powerful thing you can do for your buying power.

What Counts as Income — And What Does Not

Lenders use **gross income** (before taxes), not take-home pay. But not all income counts the same way:

Income Type	How Lenders Count It	Documentation Required
W-2 Employment (salaried)	Full amount. Most straightforward.	2 years W-2s, 30 days pay stubs, employment verification.
W-2 Employment (hourly)	Average of last 2 years if hours vary.	2 years W-2s, 30 days pay stubs.
Self-Employment / 1099	Average of last 2 years net income (after deductions on tax return). This is often much lower than gross revenue.	2 years personal + business tax returns, YTD P&L; statement.
Bonus / Commission Income	Averaged over 2 years only if consistent. One-time bonus usually excluded.	2 years history showing consistent bonus/commission.
Rental Income	75% of gross rental income (25% vacancy factor applied).	Lease agreements, 2 years Schedule E from tax returns.
Child Support / Alimony	Counted if documented and expected to continue 3+ years.	Court order or divorce decree.
Part-Time / Second Job	Counted if held for 2+ years consistently.	2 years history required. New part-time jobs usually excluded.

PART 3 — DOWN PAYMENT AND SAVINGS: WHAT YOU ACTUALLY NEED

The down payment is what most people focus on — but it is only one of three cash requirements. Many first-time buyers save enough for a down payment and then get blindsided by closing costs and cash reserves. Here is the full picture:

Cash Requirement	Typical Amount	Notes
Down Payment	3–20% of purchase price	Lower down payment = higher monthly payment + PMI. 20% eliminates PMI.
Closing Costs	2–5% of loan amount	On a \$350K loan: \$7,000–\$17,500. Includes origination fees, title insurance, appraisal, attorney fees, prepaid interest, and escrow setup.
Cash Reserves	2–6 months of mortgage payment	Many lenders require proof of reserves after closing. This money must stay in your account — it cannot be used for closing.
Earnest Money Deposit	1–3% of purchase price	Paid when offer is accepted. Applied to closing costs at settlement. At risk if you back out without a contingency.
Home Inspection	\$300–\$600 (paid upfront)	Not optional. Always get one. Paid before closing, not at closing.
Moving Costs	\$1,000–\$5,000+	Often forgotten. Budget for this separately.

The Real Cash Needed to Buy a \$350,000 Home

3.5% down (FHA): \$12,250 down + \$10,500 closing costs + \$5,400 reserves = **\$28,150 minimum cash needed.**

5% down (conventional): \$17,500 down + \$10,500 closing costs + \$5,400 reserves = **\$33,400 minimum cash needed.**

20% down (no PMI): \$70,000 down + \$10,500 closing costs + \$5,400 reserves = **\$85,900 minimum cash needed.**

These are minimums. Having more reserves makes your application stronger and gives you a financial cushion for unexpected repairs.

Down Payment Assistance Programs Most Buyers Miss

Every state has down payment assistance (DPA) programs for first-time buyers. Many are grants — free money that does not need to be repaid. Most buyers never apply because they do not know these programs exist:

Program Type	How It Works	How to Find It
State Housing Finance Agency (HFA) Programs	Low-interest second mortgages or grants of 3–5% of purchase price. Income limits apply (typically 80–120% of area median income).	Search "[Your State] Housing Finance Agency first-time buyer" or visit hud.gov.

Program Type	How It Works	How to Find It
HUD-Approved Programs	Federally backed assistance. Some offer forgivable loans (forgiven after 5–10 years of living in the home).	hud.gov/buying/localbuying — select your state.
Employer Assistance Programs	Some employers (hospitals, universities, government) offer down payment grants or matching programs for employees.	Ask your HR department. Many employees never know this benefit exists.
Gift Funds	Family members can gift down payment funds. Must be documented as a gift (not a loan) with a gift letter.	Gift letter template available from your lender. No repayment required.
Forgivable Second Mortgages	A second mortgage for the down payment that is forgiven after you live in the home for a set period (usually 5–10 years).	Available through many state HFA programs. Requires primary residence.

PART 4 — THE 12-MONTH PREP TIMELINE

This timeline assumes you want to buy in 12 months. If your timeline is shorter, prioritize the actions in the first 3 months above all others. If you have more time, repeat the 6–9 month actions until you hit your targets.

Timeframe	Actions	Target Outcome
Month 1–2 (Foundation)	Pull all 3 credit reports. Identify every negative item. Calculate your current DTI. Set up autopay on all accounts. Open a dedicated savings account for your down payment. Set a monthly savings target based on your timeline.	Know exactly where you stand. No more missed payments from this point forward.
Month 3–4 (Credit Repair)	Dispute all inaccurate items with all three bureaus. Pay down credit cards to under 10% utilization. Request credit limit increases on existing cards. Do NOT apply for any new credit.	First credit score improvements begin to show. Expect +20 to +60 points from utilization reduction.
Month 5–6 (Debt Reduction)	Aggressively pay down installment debt (car loans, personal loans). Every \$100/month of debt eliminated = ~\$12,000 more buying power. Continue disputing any unresolved credit items. Research loan programs and down payment assistance in your area.	DTI improving. Dispute results arriving. Score continuing to rise.
Month 7–9 (Savings Sprint)	Redirect all freed-up debt payments into down payment savings. Avoid any large purchases, job changes, or new credit applications. Get pre-qualified (soft pull) with 2–3 lenders to see where you stand. Research neighborhoods and realistic price ranges.	Down payment savings building. Pre-qualification gives you a real number to work with.
Month 10–11 (Final Prep)	Do NOT close any credit accounts. Do NOT open new accounts. Avoid any large deposits that cannot be documented (lenders scrutinize this). Get formal pre-approval (hard pull) from 2–3 lenders within 14 days. Compare Loan Estimates — every line item is negotiable.	Pre-approval letters in hand. Ready to make offers.
Month 12 (Buy)	Work with a buyer's agent (their commission is paid by the seller). Make offers with financing and inspection contingencies. Never waive the inspection. Lock your rate when you go under contract. Review Closing Disclosure 3 days before closing — compare to Loan Estimate.	Close on your home.

PART 5 — HOW TO SHOP FOR A MORTGAGE RATE

Most first-time buyers get one mortgage quote — from the bank they already use — and accept it. This is one of the most expensive mistakes in personal finance. Research consistently shows that getting just one additional quote saves an average of \$1,500 over the life of the loan. Getting five quotes saves an average of \$3,000.

What to Compare — The Loan Estimate Is Your Tool

When you apply with a lender, they are required by law to send you a **Loan Estimate** within 3 business days. This standardized form shows: interest rate, APR, monthly payment, closing costs (itemized), cash to close, and prepayment penalty. **Compare APR, not just the interest rate.** APR includes fees and gives you a true apples-to-apples comparison. A lender offering 6.75% with \$8,000 in fees may cost more than one offering 7.0% with \$2,000 in fees, depending on how long you keep the loan.

Lender Type	Pros	Cons	Best For
Big Bank (Chase, Wells Fargo, BofA)	Convenient if you bank there. Relationship discounts possible.	Often not the most competitive rates. Slower processing.	Buyers who want one-stop banking.
Credit Union	Often lower rates and fees for members. More flexible underwriting.	Must be a member. May have limited loan products.	Members with good credit and standard income.
Mortgage Broker	Shops multiple lenders for you. Access to wholesale rates not available retail.	Broker fee adds to closing costs (usually 1–2%).	Complex situations: self-employed, non-traditional income.
Online Lender (Rocket, Better, LoanDepot)	Fast processing. Competitive rates. Easy comparison.	Less personal service. May not know local market.	Straightforward W-2 buyers with strong profiles.
Community Bank / Local Lender	Flexible underwriting. Know local market. Portfolio loans available.	May have higher rates. Limited product range.	Buyers with unusual situations or rural properties.

What to Ask Every Lender

Question to Ask	Why It Matters
"What is the APR, not just the interest rate?"	APR includes fees. It is the true cost of the loan.
"What are the total origination fees and points?"	Points are prepaid interest. 1 point = 1% of loan amount. Sometimes worth it, sometimes not.
"Is this rate locked, and for how long?"	Rates change daily. A rate lock protects you during the closing process (typically 30–60 days).

Question to Ask	Why It Matters
"Is there a prepayment penalty?"	Most conventional loans have none. Some portfolio loans do. Know before you sign.
"What is the minimum credit score for this rate?"	Rates are tiered. Know if you are at the top or bottom of a tier.
"Can I buy down the rate with points, and what is the break-even?"	Buying points makes sense if you keep the loan long enough. Ask for the break-even calculation.
"What documents do you need and what is your typical closing timeline?"	Closing delays cost money. Know the timeline before you go under contract.

PART 6 — PRE-APPROVAL, RED FLAGS, AND CLOSING MISTAKES

Pre-Qualification vs. Pre-Approval — The Difference Matters

These two terms are often used interchangeably by buyers, but they are very different in the eyes of a seller:

	Pre-Qualification	Pre-Approval
What it involves	Self-reported income and assets. No verification.	Verified income, assets, employment, and credit pull.
Credit pull	Soft pull (no score impact)	Hard pull (–5 to –10 points)
Seller perception	Weak. Many sellers will not accept offers with only a pre-qual.	Strong. Shows you are a serious, verified buyer.
Time to obtain	5–15 minutes online	1–3 business days with documentation
Reliability	Low. Numbers are unverified.	High. Underwriter has reviewed your file.

What Not to Do Between Pre-Approval and Closing

Lenders re-verify your credit and employment immediately before closing. Any of the following can kill your loan at the last minute:

Action	Why It Is Dangerous
Opening a new credit card or loan	New accounts lower your average account age and add a hard inquiry. Your DTI may also change if the new account has a minimum payment.
Making a large purchase on credit (furniture, car, appliances)	Increases your monthly debt obligations and raises your DTI. Lenders have denied loans days before closing for this reason.
Changing jobs — even for a higher salary	Lenders want 2 years of employment history. A job change resets the clock, especially if you move from W-2 to self-employment.
Making large cash deposits you cannot document	Lenders must source all funds used for closing. Unexplained deposits trigger underwriting delays or denials. Cash gifts must be documented.
Paying off collections without a strategy	Paying an old collection can restart the statute of limitations in some states. It may also temporarily lower your score. Consult with your lender first.
Co-signing a loan for someone else	The co-signed debt appears on your credit report and counts toward your DTI, even if you never make a payment.

The Closing Disclosure: Your Last Line of Defense

Three business days before closing, you will receive a **Closing Disclosure** — a final itemized statement of all loan terms and closing costs. Compare it line by line to your original Loan Estimate. Fees should not have increased significantly. If they have, ask for an explanation in writing. You have the right to delay closing if you need more time to review. Never sign documents you do not understand.

HOMEBUYER READINESS CHECKLIST

Use this checklist to assess your readiness. Every item marked "Not Ready" is an action item for your 12-month prep plan:

Category	Readiness Indicator	Your Status
Credit Score	FICO Score 2/4/5 is 680+ (ideally 740+)	_____
Credit History	No missed payments in the last 12 months	_____
Credit History	No collections or charge-offs in the last 24 months	_____
Credit Utilization	All cards under 30% utilization (ideally under 10%)	_____
DTI — Back-End	Total monthly debt is under 43% of gross monthly income	_____
DTI — Front-End	Estimated housing costs are under 28% of gross monthly income	_____
Down Payment	Have 3.5–20% of target purchase price saved	_____
Closing Costs	Have an additional 2–5% of loan amount saved for closing	_____
Reserves	Have 2–6 months of estimated mortgage payment in savings	_____
Employment	2+ years at current employer (or in same field if changed jobs)	_____
Income Documentation	Have 2 years of tax returns and 30 days of pay stubs ready	_____
Debt Strategy	Have a plan for any existing collections or charge-offs	_____
Rate Shopping	Plan to apply with at least 3 lenders within a 14-day window	_____
Down Payment Assistance	Researched state and local DPA programs for your area	_____

One Final Thought

Buying a home is the largest financial transaction most people ever make. The difference between being prepared and being unprepared is not just whether you get approved — it is how much you pay over the next 30 years. A buyer who spends 12 months building their financial profile before applying will typically save \$50,000–\$100,000 over the life of their mortgage compared to a buyer who applies with whatever they have today. This guide is your roadmap. Work through it systematically, and the house will follow.